

Nicolas Wessler

Ph.D. Candidate, UBC Sauder School of Business

nicolas.wessler@sauder.ubc.ca

Research Interests

International Trade, Political Economy, Economic History

Education

University of British Columbia , Sauder School of Business	2021 - present
Ph.D. in Strategy and Business Economics	
Committee: Keith Head, Ayumu Ken Kikkawa, Nathan Nunn	
Advanced Studies Program, Kiel Institute for the World Economy (Germany)	2018 - 2019
Master of Science in Economics, University of Pavia (Italy)	2017 - 2018
Master of Science in Economics, University of Tübingen (Germany)	2016 - 2017
Visiting Student, Kasetsart University (Thailand)	2015 - 2016
Bachelor of Science in Economics, University of Münster (Germany)	2012 - 2016

Research and Work Experience

Pre-Doctoral Research Associate , University of Chicago	2019 - 2021
Prof. Felix Tintelnot & Dr. Alessandra González	
Research Assistant , United Nations ESCAP (Thailand)	2019
Research Assistant , Prof. Andreas Fuchs, Kiel Institute for the World Economy	2018 - 2019
Intern , Economic Policy Forum (Germany)	2016

Awards and Scholarships

UBC Killam Graduate Teaching Award	2025/2026
ReCIPE PhD Research Grant, UK Foreign, Commonwealth and Development Office (FCDO)	2025
EDI Research Catalyst Funding, UBC Dhillon Centre	2024
Doctoral Recruitment Fellowship, UBC Sauder School of Business	2021 - 2026
ASP Scholarship, Kiel Institute for the World Economy	2018 - 2019
DAAD Full Year Scholarship	2017

Research

Does Trade Follow the Flag? Evidence from Cold War Geopolitical Fragmentation

(with Timothy Meyer, Job Market Paper)

How much does geopolitical alignment affect international trade? We study this question using the Cold War as a natural experiment in geopolitical fragmentation. Leveraging detailed bilateral trade data from 1945–1990 and measures of ideological distance derived from United Nations General Assembly voting patterns, we document that politically distant countries faced substantially higher trade frictions. The tariff equivalent of the ideological gap between the United States and Soviet Union was approximately 25%, rising to 38%

for superpower trade relationships—comparable to the trade costs of armed conflict. However, these gravity estimates confound causation with reverse causality and omitted variables. To establish causality, we exploit sudden shifts in political alignment caused by coups, revolutions, and close elections as exogenous shocks to bilateral political distance. Using event study designs, we find that successful coups that increased (decreased) political distance with trading partners led to significant reductions (increases) in bilateral trade flows, with effects of 15-20% within three to four years. While smaller than the correlational estimates, these causal effects were substantial and strongest when at least one superpower was involved. Importantly, both correlational and causal effects disappeared entirely after the Cold War ended in 1990. Our findings demonstrate that geopolitical fragmentation substantially reshapes international trade patterns, though standard gravity approaches overstate the magnitude, with important implications for understanding current trends toward economic decoupling.

Trade Reliance and Economic Sanctions

(Revise and Resubmit, Review of World Economics)

What determines the success or failure of economic sanctions? Theoretical research emphasizes the anticipated costs to both sender and receiver countries, but empirical findings remain inconclusive. This study introduces a novel measure of sanction costs by developing a bilateral reliance metric, which quantifies the welfare losses incurred when trade ties are severed. The metric is derived from an international trade model incorporating multiple sectors, sector-specific trade elasticities, and intermediate production networks. Results show that while the absolute magnitude of bilateral reliance depends on the complexity of the trade model, its changes over time remain stable. Empirically, I find little evidence that the economic costs to the receiver country influence sanction success. However, there is suggestive evidence that lower costs to the sender increase the likelihood of success, a finding that holds across different model specifications, samples, and databases.

The Glass Web: Kinship Networks, Female Executives and Firm Outcomes in the Middle East

(with Alessandra L. González - Conditionally Accepted, Economics of Transition and Institutional Change)

Leveraging data on firms operating in the Gulf Cooperation Council (GCC) countries and a novel measure of family ties among firm executives, we show the quantitative importance of kinship ties for female executives in settings and industries characterized by low female representation. Our findings suggest that kinship ties may bring women into executive networks, what we call 'the glass web', that make up the proverbial glass ceiling which has traditionally kept women out of business leadership. We combine our executive-level data with administrative employer-employee matched data for Saudi Arabia to show that greater representation of women among firm executives, with or without a kinship tie, is associated with more gender-equal outcomes at the firm, including greater female employee share and smaller gender wage gaps.

Sticks or Carrots? A new Perspective on Geoeconomic Competition

(with Timothy Meyer)

We combine theory with historical data to examine how hegemonic competition impacts third countries. We develop a bargaining model in which two competing hegemon use direct payments (*carrots*) and economic power (*sticks*) to influence a third countries. To quantify the model, we use a measure of power derived from a quantitative model of international trade as well as newly collected data on U.S. and Soviet activities in non-aligned countries during the Cold War. We show that both carrots and sticks induce alignment with a hegemon. Consistent with the model, the data exhibits a hump-shape between carrots and sticks, so that non-aligned countries can benefit from hegemonic competition when the coercive power of both hegemon is matched evenly.

Presentations

2026: 24th Annual GEP/CEPR Postgrad Conference (Nottingham), Cowles Summer Conference on International Trade (Yale)

2025: GSIPE Conference (Berkeley), Second Annual Workshop on Sanctions (Vienna), 59th Annual Meetings of the Canadian Economics Association (Montreal), Philly Trade Group at Drexel (Philadelphia)

2024: 58th Annual Meetings of the CEA (Toronto), RIEF Doctoral Meeting (Paris)

Referee Services

Review of World Economics

Other Services

President, UBC Sauder Ph.D. Student Society 2024

Organizer, UBC Trade/Spatial Brownbag Seminar Series 2024

Teaching Experience

University of British Columbia — Instructor

COMM 394: Environment, Society and Government (Undergraduate) Summer 2025

Enrollment: 36 students Teaching load: 6 hrs/week Teaching evaluation: 4.9 / 5.0

University of British Columbia — Teaching Assistant

COMR 493: Strategic Management in Business (Undergraduate) Winter 2024, Winter 2023

COMR 491: Strategic Management (Undergraduate) Winter 2023

COEC 498: Advanced International Business Management (Undergraduate) Winter 2023

COMM 498: International Business Management (Undergraduate) Winter 2022

ECON 455: International Trade (Undergraduate) Winter 2022, Winter 2023

Skills

Languages: English (fluent), German (native), Italian (beginner)

Software: R, Stata, Python, Julia, MATLAB

References

Keith Head

Sauder School of Business, UBC
keith.head@sauder.ubc.ca

Ayumu Ken Kikkawa

Sauder School of Business, UBC
ken.kikkawa@sauder.ubc.ca

Nathan Nunn

Department of Economics, UBC
nathan.nunn@ubc.ca

